

LESSON FOUR

VIX AND THE BEST DAYS TO TRADE

The fear gauge as a context tool: expected range, risk by regime, intraday reads, event days and the vol crush, and how it plugs into the auction.

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Ether, the free side of Ethos

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This guide pairs with the video. [Watch it](#) for the live walkthrough, keep this next to the charts.



The fear gauge

The VIX is the market's fear gauge. It measures implied volatility on S&P 500 options, essentially what traders expect the market to move over the next 30 days.

HIGH VIX

More fear, bigger expected ranges. Explosive, trend friendly moves. The days you hold runners and stop fading strength.

LOW VIX

Calm tape, tight ranges, grindy price action. Chop and mean reversion, less opportunity for big R setups.

Total Range estimate calculation:

$$\text{Expected Daily Move (\%)} = \frac{\text{VIX}}{\sqrt{252}}$$


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The VIX. One number that frames what kind of session you are about to trade.

THE RULE BEFORE ANYTHING ELSE

VIX is not a trade signal, it is a context tool. It tells you what kind of day to expect so you run the right layer of your edge, and it never tells you to click.



The daily range read

The most practical use: VIX lets you estimate how many points ES is likely to travel today. That sets realistic targets, sensible stops, and sometimes tells you not to trade at all.

VIX around 12.5

ES roughly a 30 point day. Scalps only, 3 to 5 points. Fishing for 10 point runners on a day like this is how the account bleeds.

VIX around 16

ES roughly a 50 point day. The sweet spot for structured R setups, opening drive plays with 10 point targets make sense here.

VIX around 22

ES roughly a 95 point day. Violent swings. Do not force tiny stops, ride momentum, take partials earlier and trail aggressively.

THE FREE RANGE TOOL

Use the free ES range calculator to get the expected total range for the day: **the ES range tool**. Ranges above are typical, the tool does the maths for the actual number.



Risk by regime

The regime also decides how you manage risk. Same setups, different sizing rules.

VIX above 20

Widen stops to 3 or 4 points or scale out quicker. The noise band is bigger, a tight stop is just a donation.

VIX 15 to 18

The best pocket for pressing structured risk-reward, the 2 point stop, 10 point target days live here.

VIX below 14

Shrink targets to scalps, run smaller stops under 3 points, or stay out entirely.

VIX below 13

Expected ES range under 30 points. Usually not worth fishing. Knowing there is no edge today IS the edge.

RANGE COMPLETION

Track realized range against the implied range through the day. Once the implied range is mostly done, expect mean reversion and chop, the fuel is spent.



The intraday reads

VIX is not just an overnight forecast. The intraday direction of the number matters as much as its level.

ES up, VIX down

Healthy trend, confirmation. Continuation is the play.

ES up, VIX up

Divergence. Caution, the rally may fade, hedging demand is building underneath it.

ES down, VIX up

Normal risk-off. Momentum likely continues, do not rush to catch the knife.

ES flat, VIX flat

Expect chop. Scalp the rotations or stand down.

THE SIMPLE VERSION

Rising VIX intraday, expect ES to push away from value, expansion. Falling VIX intraday, expect ES to rotate and respect levels, balance.



Event days and the vol crush

Around scheduled events the VIX has a rhythm of its own, and knowing it keeps you out of the two classic traps.

BEFORE THE EVENT

Into CPI, FOMC and major earnings the VIX tends to rise, the market is nervous. High pre-event VIX means do not overfade moves, expect volatility, and ignore the implied range, catalyst days can blow straight past it.

AFTER THE EVENT

Once the event passes, VIX often drops hard, the vol crush. The ES range shrinks and the tape goes back to rotation. Post-crush is when you return to fading rotations.

THE TWO TRAPS

Fading a pre-event tape like it is a normal chop day, and chasing breakouts after the crush like it is still an event day. Same mistake, opposite directions: trading yesterday's regime.



The VIX curve and VVIX

One layer deeper: the VIX is not a single number, it is a curve, and the shape of that curve tells you how much fear is priced right now versus later.

CONTANGO, THE NORMAL STATE

Longer dated volatility trades above spot VIX. The market is calm, fear is a future maybe, not a now. This is the backdrop for grindy trend days and clean rotations.

BACKWARDATION, THE STRESS STATE

Spot VIX spikes above the longer dates. Fear is immediate. This is crash and panic behaviour, huge ranges, gaps, and levels that mean nothing until it resolves.

VVIX, THE VIX OF THE VIX

Measures how fast volatility itself is expected to move. A rising VVIX warns that a quiet VIX is about to get loud, an early tell before the range even expands.

THE PRACTICAL READ

Contango, trade normally with your levels. Backwardation, cut size hard, widen everything, and respect that the auction is broken until the curve normalises.

WHY BOTHER WITH THE CURVE

A VIX of 18 in calm contango is a totally different day to a VIX of 18 ripping into backwardation. The level alone lies, the shape tells the truth.



VIX plus the auction

This is where the lesson connects to everything before it. AMT logic tells you where value is. VIX tells you whether the auction will rotate inside that value or explore outside it.



Balance on the profile, VIX dropping

Play the rotations. Fade the edges of value back toward the POC, price is more likely to rotate inside the value area and respect VAH and VAL.



Balance on the profile, VIX rising

Prepare for the range break. Expansion is loading, do not lean on the walls the way you would on a falling-VIX day.



Size the breakout by the VIX

When VIX is dropping hard, size smaller on breakout attempts, they fail into rotation more often. Real breaks need real volatility behind them.

THE ONE LINE

The profile is the map, the VIX is the weather. You need both before you drive.





Now pick your days.

You now know which sessions are worth pressing and which are worth skipping. Inside Ethos, the mentorship, you learn the KG models that trade them, with live sessions three times a week.



Read the number before the open

Level and direction. Range expectation set before the first trade.



Match risk to the regime

Wide stops in wild vol, scalps in the grind, flat when there is nothing.



Never trade it as a signal

VIX is the weather, the auction is the map, the tape is the trigger.

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